LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is LC Discounting ?

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Module 1: Theoretical Foundations and Product Philosophy

1.1 The Concept of Letter of Credit Discounting (LCD)

Letter of Credit Discounting (also termed LC Bill Discounting or LC Receivable Financing) represents an institutional-grade, transaction-backed post-shipment trade credit mechanism in the Indian banking system. At its core, LCD is a structured financial solution that bridges the structural liquidity gap inherent in standard B2B trade circles. It allows an exporter (Seller) who has shipped goods under a Usance Letter of Credit to receive immediate, non-recourse or limited-recourse cash flows by selling the underlying accepted draft (Bill of Exchange) to an authorized financial institution (the Discounting Bank) at a pre-negotiated discount rate.

1.2 Shifting Credit Risk from Corporate to Sovereign/Bank Balance Sheets

In traditional commercial lending, a bank evaluates a borrower's creditworthiness strictly against their static balance sheet, debt-to-equity ratios, collateral covers, and historical performance. For small-to-medium enterprises (SMEs) and MSMEs, this reliance on static corporate metrics creates a severe credit bottleneck, as their leverage capacity is limited.

LC Discounting completely resolves this bottleneck by shifting the primary credit risk of the transaction. Under UCP 600 rules, once shipping documents are checked and accepted as compliant, the primary payment obligation shifts entirely from the corporate buyer's balance sheet to the Issuing Bank's institutional credit capacity. This 'credit substitution' represents the core risk philosophy of LC Discounting: the discounting bank does not underwrite the credit risk of the exporter, nor that of the importer, but instead underwrites the creditworthiness of the interbank Letter of Credit issuer.

1.3 The Legacy of the 2018 Letter of Undertaking (LoU) Ban

To understand the current state of structured trade finance in India, rookies must master the profound structural shift that occurred in early 2018. Following the multi-billion rupee systemic bank fraud at Punjab National Bank (PNB)—where rogue players exploited un-reconciled SWIFT MT799/MT798 messages to issue unauthorized Letters of Undertaking (LoUs)—the Reserve Bank of India (RBI) enacted an immediate, sweeping ban on all LoUs and Letters of Comfort (LoCs) for trade credit on March 13, 2018.

This regulatory ban completely shut down the parallel, off-balance sheet interbank guarantee market. Exporters who previously relied on cheap buyer's credits backed by domestic LoUs were forced to pivot immediately to fully regulated, CBS-integrated,

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transaction-backed Letter of Credit channels. This regulatory overhaul established modern LC Discounting as the primary and most secure mechanism for unlocking non-recourse working capital in Indian cross-border and domestic trade, bringing absolute transparency, end-to-end audit trails, and strict transaction tracking to the sector.

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Module 2: Structural Comparative Taxonomy

2.1 Matrix Mapping: LC Discounting vs. Factoring vs. EBD vs. Forfaiting

A common pitfall for rookies is confusing different receivable monetization products. While all of them unlock working capital from book debts, their underlying structures, legal security, and cost behaviors differ significantly. The following taxonomy compares the primary structured trade finance mechanisms:

2.2 Comprehensive Structural Comparison Table

Parameter	LC Discounting	Export Factoring	Export Bill Discounting (EBD)	Forfaiting
Primary Risk Basis	Issuing Bank risk (UCP 600)	Importer's balance sheet	Exporter's balance sheet	Co-accepting foreign bank
Recourse Terms	Typically non-recourse after bank acceptance	Disclosed: Non-recourse Confidential: Recourse	Standard recourse back to Exporter	Absolute non-recourse without option
Collections Handler	Discounting Bank via interbank routes	Import Factor in buyer's country	Discounting Bank (India)	Forfaiting Bank (Sellers' country)
Standard Tenures	90 to 180 days (extendable to 450 days)	30 to 120 days	30 to 120 days	Medium term: 1 to 5 years
Balance Sheet Treatment	De-recognized off-balance sheet	Off-balance sheet if non-recourse	Stays on-balance sheet as liability	Completely de-recognized off-balance sheet

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2.3 Strategic Analysis of Balance Sheet Impact

The choice between these structures is driven heavily by balance sheet optimization strategy. Under Ind AS 109 / IFRS 9 guidelines, financial assets can only be de-recognized (removed from the balance sheet) if the entity transfers substantially all the risks and rewards of ownership.

Under Non-Recourse Export Factoring and Forfaiting, 100% of the debtor credit default risk is transferred to the financier, allowing the corporate exporter to legally de-recognize the receivables. This improves the exporter's key performance ratios, such as the Current Ratio, Asset Turnover, and Debt-to-Equity. Conversely, with standard Recourse Export Bill Discounting (EBD) and Recourse LC Discounting, the bank retains the right to sweep the exporter's current account if the importer or issuing bank defaults, meaning the receivables must remain on the balance sheet as a current asset offset by a corresponding short-term borrowing liability.

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Module 3: The End-to-End Operational Lifecycle

3.1 The 11-Step Transaction Flow of LC Discounting

A successful LC Discounting transaction requires strict, chronological execution across multiple international and domestic counterparties. The end-to-end flow is mapped as follows:

1. Commercial Agreement: Exporter and Importer sign a contract agreeing to settle the transaction via an Irrevocable Usance Letter of Credit (typically 90 to 180 days tenor).
2. LC Application: The Importer requests their local bank (the Issuing Bank) to open a Letter of Credit specifying strict documentary requirements (Invoices, Bills of Lading, Certificates of Origin, Insurance Papers).
3. LC Issuance (SWIFT MT700): The Issuing Bank transmits the structured MT700 message to the Exporter's bank (the Advising Bank) in India, committing its institutional credit backing to pay upon compliant presentation.
4. LC Advising: The Advising Bank validates the authenticity of the SWIFT message and transmits the LC terms to the Exporter.
5. Manufacturing & Shipment: The Exporter manufactures and dispatches the consignment, obtaining clean Bills of Lading (B/L) from the shipping carrier as documents of title.
6. Document Presentation: The Exporter compiles and submits all documents required by the LC to their Nominated/Confirming Bank within India.
7. Document Audit (UCP 600 Compliance): The Indian bank audits the presented documents under UCP 600 guidelines to ensure absolute compliance with all LC terms.
8. Compliance Transmission (SWIFT MT754): The Indian bank dispatches the documents to the Issuing Bank, confirming compliant presentation via SWIFT MT754.
9. Acceptance & Maturity Commitment: The Issuing Bank accepts the documents and issues an unconditional maturity payment commitment to the Indian Discounting Bank.
10. Discounting Disbursal: The Indian Discounting Bank deducts the SOFR-linked or MCLR-linked discount interest and disburses the net proceeds directly to the Exporter's current account on a non-recourse basis.
11. Final Settlement (SWIFT MT103/MT202): On usance maturity (e.g., Day 90), the Issuing Bank settles the trade value directly with the Discounting Bank via standard SWIFT interbank payment routes.

3.2 Decoupling SWIFT Communication Channels

A critical operational pillar of LC Discounting is the absolute decoupling of communication channels. All legal and credit commitments are exchanged exclusively over the encrypted, globally audited SWIFT (Society for Worldwide Interbank Financial Telecommunication) network. Exporters must verify that their banks are utilizing CBS

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(Core Banking Solution) integrations that automatically link SWIFT transactions with local corporate ledger accounts, eliminating the possibility of manual entry errors or duplicate financing.

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Module 4: Transactional Credit Underwriting & Risk Metrics

4.1 The Underwriting Paradigm Shift

Under traditional corporate lending, underwriting is an inward-looking exercise focused on the borrower's asset base and leverage ratios. In LC Discounting, the underwriting lens shifts outward. The discounting bank focuses on the credit standing of the LC Issuing Bank, the commercial viability of the underlying trade transaction, and the geopolitical risk of the importing nation.

4.2 Institutional Credit Check Benchmarks

To set interbank discounting limits, banks run a multi-dimensional risk matrix:
1. Exporter Checks: The promoter's personal credit score is audited (target: CIBIL score >700). The exporter's CIBIL MSME Rank (CMR) is assessed (target: CMR 1 to CMR 4) to ensure high operational integrity. Traditional balance sheets are evaluated under the Tandon Second Method of Lending, ensuring a minimum Current Ratio of 1.25:1 to 1.33:1.
2. Issuing Bank Appraisal: The discounting bank establishes institutional exposure ceilings. Key metrics include the Issuing Bank's Basel III Capital Adequacy Ratio (CAR > 12%), Net Non-Performing Assets (Net NPA < 2.0%), and sovereign/international credit ratings assigned by Fitch, S&P, or Moody's (minimum target: Investment Grade).
3. Country Risk Analysis: Using classifications from the Export Credit Guarantee Corporation (ECGC) of India, banks map importing countries from A1 (negligible risk) to D (high risk). Transactions involving countries rated below B2 require mandatory confirming bank intervention or credit insurance.

4.3 Mitigating Transaction Dilution & Margin Reserves

While LC Discounting substitutes buyer default risk with bank risk, it does not eliminate transaction dilution. Dilution occurs when the importer claims product defects, short-shipments, or pricing discrepancies, resulting in a credit note that reduces the final invoice value. To mitigate this, discounting banks run a safety multiplier on historical customer return rates and establish a Margin Reserve (typically 10% to 15%), holding back a portion of the advanced funds until final payment is settled.

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Module 5: Legal Framework, Security Creation, and UCP 600 Compliance

5.1 ICC Uniform Customs and Practice (UCP 600) Key Articles

The global legal bedrock for LC Discounting is the ICC Uniform Customs and Practice for Documentary Credits (UCP 600). Rookies must master three non-negotiable articles:
1. Article 2 (Definitions): Establishes that the 'Nominated Bank' is the bank with which the credit is available, and 'Negotiation' means the purchase by the nominated bank of drafts and/or documents under a compelling presentation.
2. Article 7 (Issuing Bank Undertaking): Affirms that the Issuing Bank is irrevocably bound to reimburse the Nominated Bank that has discounted a complying document package on or after a complying presentation.
3. Article 8 (Confirming Bank Undertaking): Confirms that when a Confirming Bank adds its confirmation, it assumes primary, joint, and several liability alongside the Issuing Bank, eliminating transfer and sovereign risk for the discounting bank.

5.2 The Doctrine of Strict Compliance and the 5-Banking-Day Audit Window

Under UCP 600, the 'Doctrine of Strict Compliance' reigns supreme. Under this legal doctrine, banks deal strictly with documents, not the physical goods to which they relate. A single typographical mismatch—such as 'Steel Sheets Grade A' in the invoice and 'Steel Sheets Gr. A' in the Bill of Lading—constitutes a documentary discrepancy, rendering the LC void and releasing the Issuing Bank from its payment obligation.

To balance this strict requirement, UCP 600 establishes a rigid 5-Banking-Day Audit Window. Nominated and Issuing banks have a maximum of five banking days following the day of presentation to audit the document package and declare discrepancies. If a bank fails to notify the presenting bank of specific discrepancies within this 5-day statutory window, it is legally precluded from claiming them later, and the presentation is deemed compliant by default.

5.3 Statutory Assignment & CERSAI Charge Registration

To establish absolute senior lien rights over the trade receivables, the discounting bank executes a statutory assignment of the book debts as 'actionable claims' under Section 130 of the Transfer of Property Act, 1882. Furthermore, under the Factoring Regulation

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Act, 2011 (with the 2021 Amendments), all receivable assignments must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within a 10-day statutory window. This mandatory registration is integrated with direct GSTN API validations to completely eliminate duplicate invoice financing and pledging fraud.

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Module 6: Target Industries, Sectoral Sizing, and Market Alignment

6.1 Core Sectors Driving LC Discounting Volume

LC Discounting is best suited for capital-intensive, high-volume industries with established, transparent global supply chains. Key target sectors include:
1. Textiles and Ready-made Garments: Surat and Ludhiana clusters utilize LCD extensively to finance bulk yarn and apparel consignments shipped on 90-day open credits to international retail buyers.
2. Automotive Components: Manufacturers in Pune and Chennai discount bills raised on global OEMs, optimizing their cash conversion cycles.
3. Chemicals and Pharmaceuticals: High-value chemical bulk shipments utilize structured LC lines to cover raw material procurement costs.
4. Consumer Electronics and Durables: Citing the Indian Government's Electronic Vision 2030 PLI (Production Linked Incentive) framework, domestic electronics assemblers utilize structured LC lines to finance the import of high-value microprocessors and chipsets on a Usance Payable at Sight (UPAS) basis.

6.2 Market Sizing: Retailers, Wholesalers, and the MSME Segment

Citing CIBIL MSME commercial lending data, Retail and Wholesale Traders represent the single largest segment of working capital borrowers, making up approximately 44% of total active borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This huge volume highlights the massive demand for transaction-backed, self-liquidating trade finance programs over rigid, asset-heavy term debt. Major public sector banks like the State Bank of India (SBI) have captured this market via digital supply chain portals, including the Electronic Dealer Financing Scheme (e-DFS), which boasts an active exposure exceeding ₹49,261 Crores, and the Electronic Vendor Financing Scheme (e-VFS), exceeding ₹28,092 Crores.

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Module 7: Commercial Pricing Mechanics and Financial Models

7.1 The Anatomy of LC Discounting Costs

The pricing structure of a revolving LC Discounting line consists of three primary components:
1. Upfront Processing/Arrangement Fees: 0.10% to 0.25% of the credit limit, assessed annually.
2. Discounting/Interest Rates: For international trade, rates are linked directly to benchmark Risk-Free Rates, primarily the Adjusted Secured Overnight Financing Rate (Adjusted SOFR) plus an institutional risk premium (typically 1.50% to 2.50%). For domestic trade, rates are benchmarked to the bank's marginal cost-based lending rate (MCLR) or external benchmark lending rate (EBLR).
3. Swift & Document Handling Charges: Flat interbank communication charges.

7.2 Usance Payable at Sight (UPAS) Structures

A highly popular structure is the Usance Payable at Sight (UPAS) model. In a UPAS LC, the importer's bank issues a Usance LC (allowing the importer 90 to 180 days to pay), but includes a special clause authorizing immediate payment to the exporter at sight. The confirming or discounting bank pays the exporter immediately, and the importer's bank structures the transaction as a trade loan, charging the importer SOFR-linked interest for the usance period. This maximizes liquidity for both parties: the exporter receives immediate cash, and the importer retains deferred payment terms.

7.3 The Interest Tax Shield and GST Exemption

Under Indian tax guidelines, the core interest and discounting components are completely exempt from GST. However, upfront processing fees, advisory fees, and document handling charges attract a standard 18% GST (which qualifies for corporate Input Tax Credit). Furthermore, under Section 36(1)(iii) of the Income Tax Act, 1961, all interest expenses incurred on working capital debt qualify for an 'Interest Tax Shield,' allowing corporate borrowers to deduct financing costs from taxable income and reducing the effective post-tax borrowing rate by the prevailing corporate tax rate (e.g., 25.17%).

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Module 8: Regulatory Compliance, FEMA Realization Mandates, and IRACP Norms

8.1 The FEMA 9-Month Realization Mandate

Under the Foreign Exchange Management Act (FEMA), 1999, exporters are subject to a strict statutory requirement to realize and repatriate the full value of export proceeds to India within 9 months from the date of shipment. Any delay beyond this 9-month window requires prior, formal approval from the Reserve Bank of India (RBI) via the exporter's Authorized Dealer (AD) bank. To cushion exporters against global supply chain disruptions, the RBI's landmark 2025 Trade Relief Directions extended the maximum permissible usance tenure for qualifying MSME export bills up to 450 days and relaxed the realization window to 15 months for specific industrial sectors.

8.2 Digital Reporting via IDPMS and EDPMS

All cross-border trade transactions are tracked digitally by the RBI via the Import Data Processing and Monitoring System (IDPMS) and the Export Data Processing and Monitoring System (EDPMS). Customs systems automatically transmit Shipping Bill data to the EDPMS portal under a unique 17-digit number. Once the export proceeds are realized, the AD bank must match the remittance with the corresponding shipping bill on EDPMS and issue an electronic Bank Realisation Certificate (eBRC), completing the regulatory compliance loop.

8.3 RBI IRACP Norms and Technical NPA Triggers

Under the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) guidelines, banks must maintain strict asset health. If an LC Discounting line's interest or principal remains overdue for more than 90 consecutive days, the account is automatically classified as a Non-Performing Asset (NPA), transitioning through Special Mention Account stages (SMA-0 on day 1-30, SMA-1 on day 31-60, and SMA-2 on day 61-90). Furthermore, banks must avoid 'Technical Defaults,' which trigger automatic NPA classification if an account is not formally reviewed/renewed within 180 days of its expiry, or if the borrower fails to submit updated stock and debtor statements for more than 180 days.

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Module 9: Comprehensive Real-World Case Study

9.1 Case Scenario: Ludhiana Tex-Engineers Ltd.

To demonstrate the mathematical mechanics of LC Discounting under the Indian tax framework, consider a real-world scenario involving Ludhiana Tex-Engineers Ltd. (LTEL), a leading exporter of specialized textile machinery parts. LTEL operates at a flat corporate tax rate of 25.17%.

LTEL secures a bulk export order valued at USD 500,000 (equivalent to INR 4,20,00,000 at a locked forward exchange rate of INR 84.00 per USD) from a buyer in Frankfurt, Germany (Munich Garments AG). The contract stipulates settlement via an Irrevocable Usance Letter of Credit with a 90-day tenor from the bill of lading date, issued by a prime German bank (Deutsche Commerce Bank).

9.2 Mathematical Breakdown of Pricing Option A vs. Option B

LTEL evaluates two financial pathways to fund its operations during the 90-day credit period:

Option A: Rupee Cash Credit (CC) Line
LTEL draws INR 3,57,00,000 from its domestic Rupee CC line at a nominal interest rate of 10.50% p.a. to pay raw material suppliers. On Day 90, the export proceeds are realized, and the CC line is settled.
• Principal Drawn: INR 3,57,00,000
• 90-Day Interest Incurred: INR 3,57,00,000 × 10.50% × 90 / 365 = INR 924,287.67
• Pre-Tax Cost of Financing: INR 924,287.67
• Corporate Tax Shield (25.17%): INR 924,287.67 × 25.17% = INR 232,643.21
• Net Post-Tax Financing Cost (Option A): INR 691,644.46

Option B: USD LC Discounting (UPAS Model)
Upon presenting complying shipping documents, LTEL discounts the accepted USD 500,000 draft at an Adjusted SOFR-linked rate of 7.20% p.a. (Adjusted SOFR of 5.20% + bank spread of 2.00%). The bank applies an 85% advance rate, holding a 15% margin reserve (USD 75,000) to protect against trade dilution. The bank charges a 0.20% processing fee.
• Advanced Principal (85%): USD 425,000 (INR 3,57,00,000)
• 90-Day Discounting Interest (7.20% p.a.): USD 425,000 × 7.20% × 90 / 365 = USD 7,545.21 (INR 633,797.64 @ INR 84.00/USD, GST-exempt)
• Upfront Processing Fee (0.20%): USD 850 (INR 71,400)
• GST on Processing Fee (18%): INR 12,852 (recoverable via ITC)
• Total Pre-Tax Financing Costs: INR 633,797.64 (Interest) + INR 71,400 (Fee) = INR

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705,197.64
• Corporate Tax Shield (25.17%): INR 705,197.64 × 25.17% = INR 177,498.25
• Net Post-Tax Financing Cost (Option B): INR 527,699.39

9.3 Strategic Cost-Benefit Analysis and Risk Insulation Outcomes

Comparing the two options yields clear strategic insights:
1. Direct Cash Savings: Choosing Option B (USD LC Discounting) over Option A (Rupee CC Line) results in a direct, post-tax cash saving of INR 163,945.07 (INR 691,644.46 - INR 527,699.39) on a single transaction.
2. Balance Sheet Liquidity: Under Option B, LTEL did not have to block its domestic CC limits or pledge local real estate collateral, preserving precious borrowing capacity for other domestic projects.
3. Perfect Default Protection: On Day 90, Munich Garments AG declares sudden insolvency. Under the irrevocable UCP 600 guidelines, Deutsche Commerce Bank is legally bound to settle the USD 500,000 with the Indian discounting bank. LTEL's advanced USD 425,000 remains 100% safe, and the USD 75,000 margin reserve is released in full, protecting the exporter from complete business failure.

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Module 10: 10-Question Certification Examination

10.1 Exam Introduction & Testing Covenants

This certification exam is designed to test a trainee's absolute mastery of LC Discounting under Indian regulatory frameworks. Questions incorporate complex real-world trade scenarios, legal precedents under UCP 600, and quantitative calculation requirements.

10.2 Module 10 Practice Exam Questions

10-QUESTION CERTIFICATION EXAMINATION (LOAN BAZAAR ACADEMY)

Question 1 (UCP 600 Document Audit Timelines)
Under Article 14 of UCP 600, what is the maximum number of banking days permitted for a nominated bank or issuing bank to determine if a presentation is compliant, and what is the legal outcome if they fail to notify of any discrepancies within this window?
A) 3 banking days; the presentation is deemed rejected.
B) 5 banking days; the presenting bank must submit a fresh package.
C) 5 banking days; the bank is precluded from claiming discrepancies, and the presentation is deemed compliant.
D) 7 banking days; the exporter receives automatic interest penalties.

★ Correct Option: C.
★ Rationale: UCP 600 Article 14 establishes a strict 5-banking-day window. If the bank fails to declare discrepancies within 5 days, it is legally precluded from doing so later, making the presentation compliant.

Question 2 (FEMA Repatriation & Trade Relief Rules)
Under standard FEMA guidelines, what is the statutory realization timeline for export proceeds, and how was this modified under the RBI's 2025 Trade Relief Directions for qualifying MSME export bills?
A) Standard is 6 months; extended to 12 months.
B) Standard is 9 months; extended to up to 450 days usance and 15 months realization window.
C) Standard is 12 months; extended to 24 months.
D) Standard is 3 months; extended to 9 months.

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★ Correct Option: B.
★ Rationale: Standard FEMA realization is 9 months. The RBI's 2025 Trade Relief Directions extended usance tenures to 450 days and the realization window to 15 months to protect exporters against shipping bottlenecks.

Question 3 (The T&C statutory registration rules)
Under the Factoring Regulation Act and the 2021 Amendments, what is the statutory registration window for registering factoring/receivable charges with CERSAI to establish senior lien rights?
A) Within 30 days of invoice generation.
B) Within 10 days of receivable assignment.
C) Within 45 days of trade loan approval.
D) Registering with CERSAI is optional for bank-backed LC Discounting.

★ Correct Option: B.
★ Rationale: The 2021 Amendment of the Factoring Regulation Act mandates registering factoring/receivable charges with CERSAI within a tight 10-day window to eliminate duplicate financing fraud.

Question 4 (UCP 600 Core Definitions of Negotiation)
According to UCP 600 Article 2, what constitutes the legal act of 'Negotiation' by a Nominated Bank?
A) The physical checking of the Bill of Lading alongside raw material stock statements.
B) The purchase by the Nominated Bank of drafts and/or documents under a complying presentation by advancing funds.
C) The advising of the LC terms to the exporter via electronic SWIFT MT710.
D) The collection of cash directly from the importer's bank on maturity.

★ Correct Option: B.
★ Rationale: Article 2 defines Negotiation as the purchase by the Nominated Bank of drafts/documents under complying presentation by advancing or agreeing to advance funds on or before the banking day of reimbursement.

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Question 5 (Tax Shields under Income Tax Act)
Under Section 36(1)(iii) of the Income Tax Act, 1961, how are the interest costs associated with LC Discounting treated, and what is the post-tax cost if the nominal rate is 8.00% p.a. and the corporate tax rate is 25.17%?
A) Interest is non-deductible; post-tax cost remains 8.00% p.a.
B) Interest is fully tax-deductible; post-tax cost is 5.99% p.a.
C) Interest qualifies for an 18% tax credit; post-tax cost is 6.56% p.a.
D) Interest must be capitalized under Section 269UD; post-tax cost is 4.00% p.a.

★ Correct Option: B.
★ Rationale: Section 36(1)(iii) allows full deduction of working capital interest. The post-tax cost is calculated as: 8.00% × (1 - 0.2517) = 5.986% (rounded to 5.99% p.a.).

Question 6 (Doctrine of Strict Compliance Precedents)
What does the 'Doctrine of Strict Compliance' legally mean during a document audit for an export LC Discounting transaction?
A) The bank deals strictly with the physical goods shipped to ensure no damage exists.
B) The documents presented must match the LC terms exactly; any typographical discrepancy voids compliance.
C) Exporters must maintain a personal CIBIL score of 800 or above.
D) Banks must verify the importer's physical inventory at local warehouses.

★ Correct Option: B.
★ Rationale: Strict compliance dictates that documents must exactly match the LC terms. Even a minor typographical mismatch voids the bank's payment obligation under UCP 600.

Question 7 (RBI IRACP 'Out of Order' Triggers)
Under RBI IRACP norms, when does a revolving trade line or cash credit account get classified as 'Out of Order' (which triggers automatic NPA classification on Day 90)?
A) When the balance exceeds the sanctioned limit/DP for 30 consecutive days.
B) When there are zero credits in the account for 180 consecutive days.
C) When the outstanding balance remains continuously in excess of the sanctioned limit/DP for 90 days, or when credits are insufficient to cover interest debited in the prior 90 days.

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D) When the exporter's Current Ratio falls below 1.10:1.

★ Correct Option: C.
★ Rationale: Under IRACP norms, an account is classified as 'Out of Order' if the outstanding balance exceeds limit/DP for 90 days, or if credits in the last 90 days are insufficient to cover interest debited during the same period.

Question 8 (SWIFT Message Parsing)
Which SWIFT message is used by an issuing bank to convey the original irrevocable Letter of Credit terms to the advising bank?
A) SWIFT MT710
B) SWIFT MT754
C) SWIFT MT700
D) SWIFT MT103

★ Correct Option: C.
★ Rationale: SWIFT MT700 is the industry-standard interbank message format used to issue an irrevocable documentary Letter of Credit.

Question 9 (The 180-Day Technical NPA Trigger)
Under RBI's IRACP asset classification directions, what is the maximum permissible delay for a bank to formally renew/review a short-term working capital limit before it is classified as a technical NPA?
A) Maximum delay of 90 days from the expiry date.
B) Maximum delay of 180 days from the expiry date.
C) Maximum delay of 30 days from the expiry date.
D) Limits are automatically renewed; zero delay is permitted.

★ Correct Option: B.
★ Rationale: RBI guidelines state that if a short-term limit is not formally reviewed or renewed within 180 days from its expiry date, the account must be classified as a technical NPA default by the lending bank.

Question 10 (Digital Lending LSP Capping Rules)
Under the RBI's Digital Lending Directions and customer protection framework, what

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is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements with Lending Service Providers (LSPs)?
A) Capped at 2.0% of the aggregate portfolio balance.
B) Capped at 5.0% of the aggregate loan portfolio exposure.
C) Capped at 10.0% of the aggregate loan portfolio exposure.
D) DLG agreements are completely prohibited for trade portfolios.

★ Correct Option: B.
★ Rationale: The RBI restricts Default Loss Guarantee (DLG) or First Loss Default Guarantee (FLDG) arrangements between banks and third-party LSPs to a strict maximum cap of 5.0% of the total outstanding loan portfolio.

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